

Demand, Supply and Equilibrium

Presented by–

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Importance of Demand and Supply Analysis

Laissez-faire and invisible hand

The unobservable market force that helps the demand and supply of goods in a free market to reach equilibrium automatically is the invisible hand. The phrase invisible hand was introduced by Adam Smith in his book 'The Wealth of Nations'.

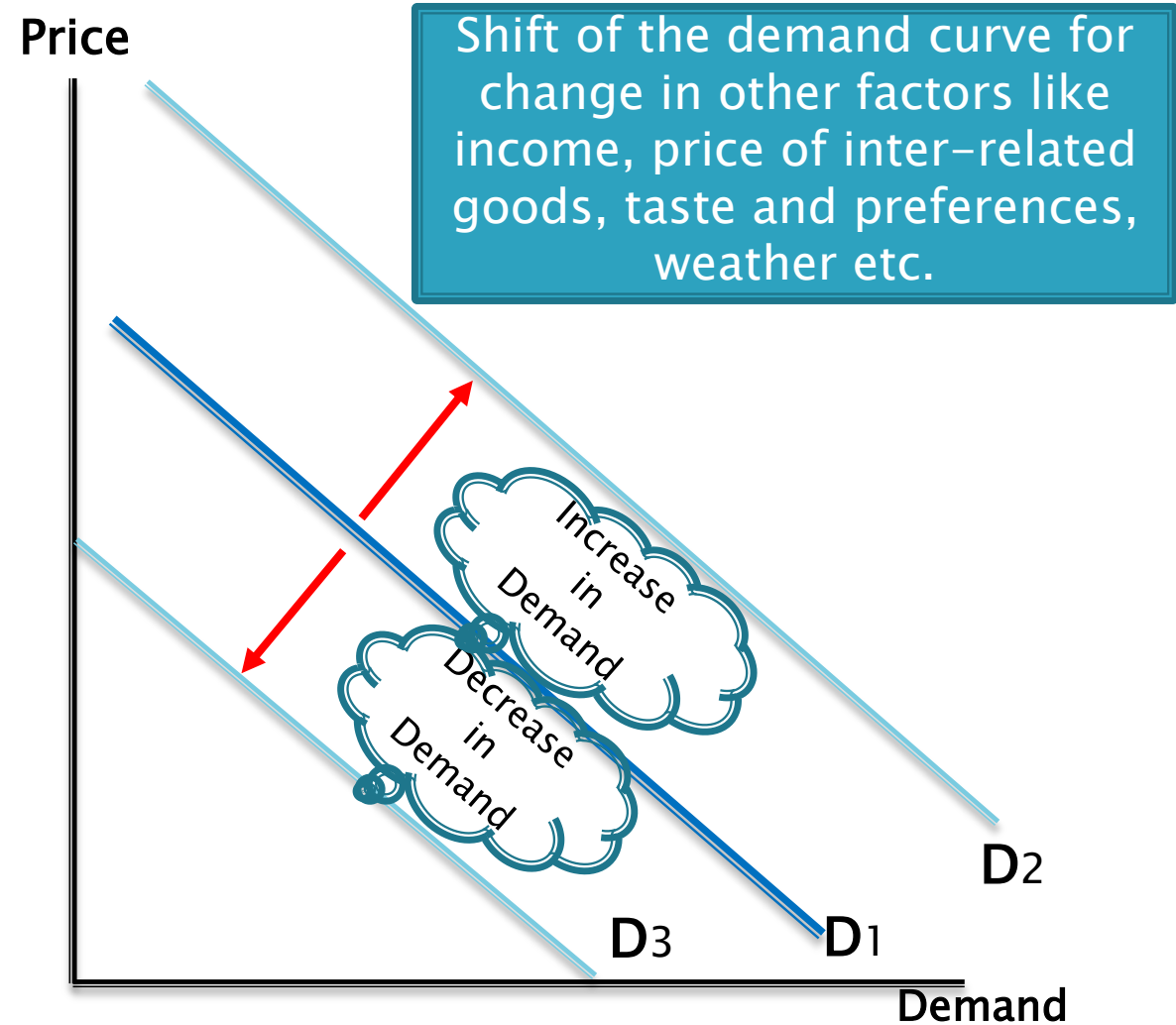
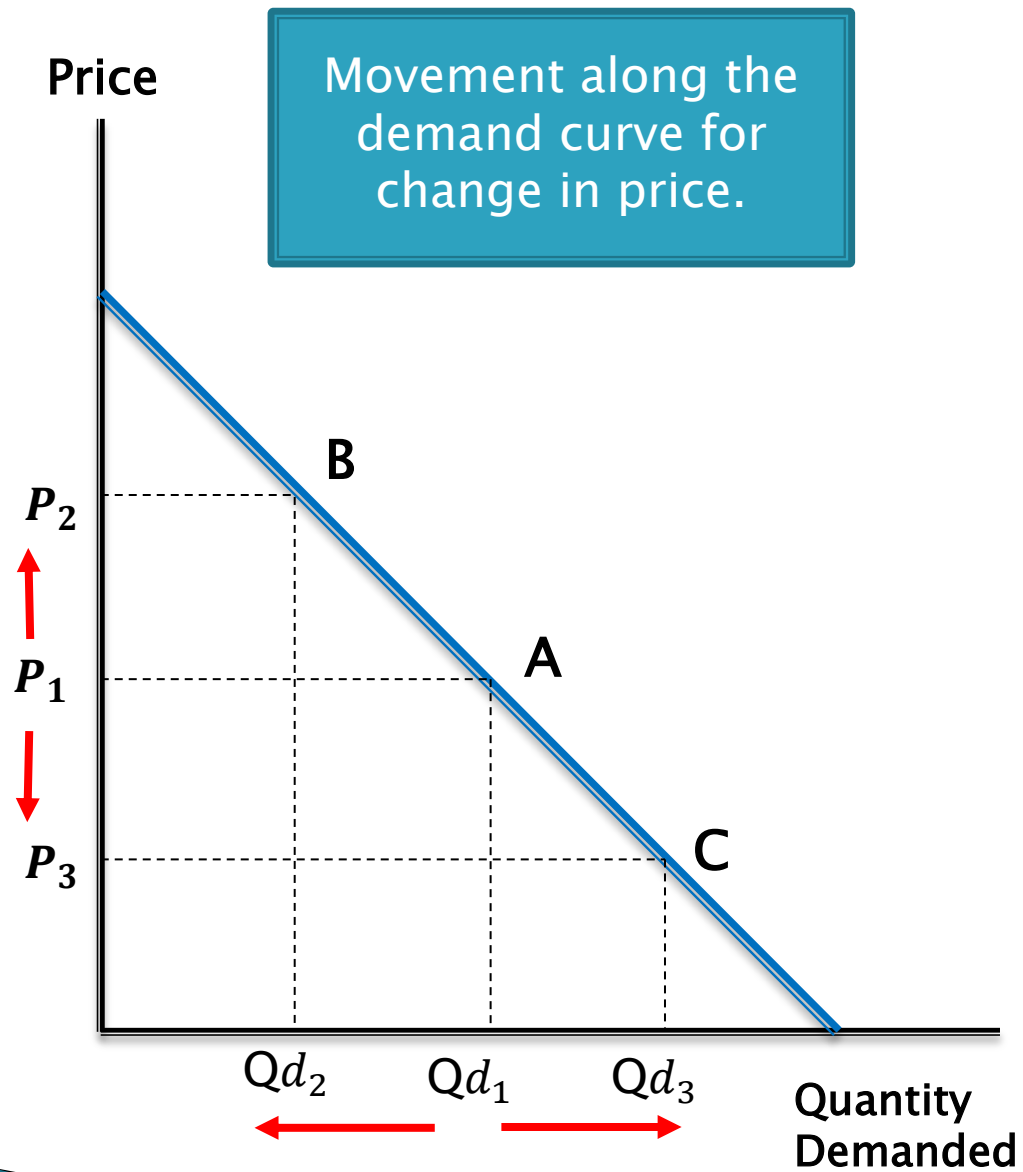


Demand Analysis and Law of Demand

- ▶ **Demand:** The quantity of goods buyers are willing to buy at a given price and given point of time.
- ▶ **3 conditions of demand:**
 1. Desire to buy a good or service;
 2. Ability to pay;
 3. Desire to spend money for buying that good or service.
- ▶ **Law of demand**

Other things remaining same, if price increases of a product, its quantity demanded falls and vice-versa.





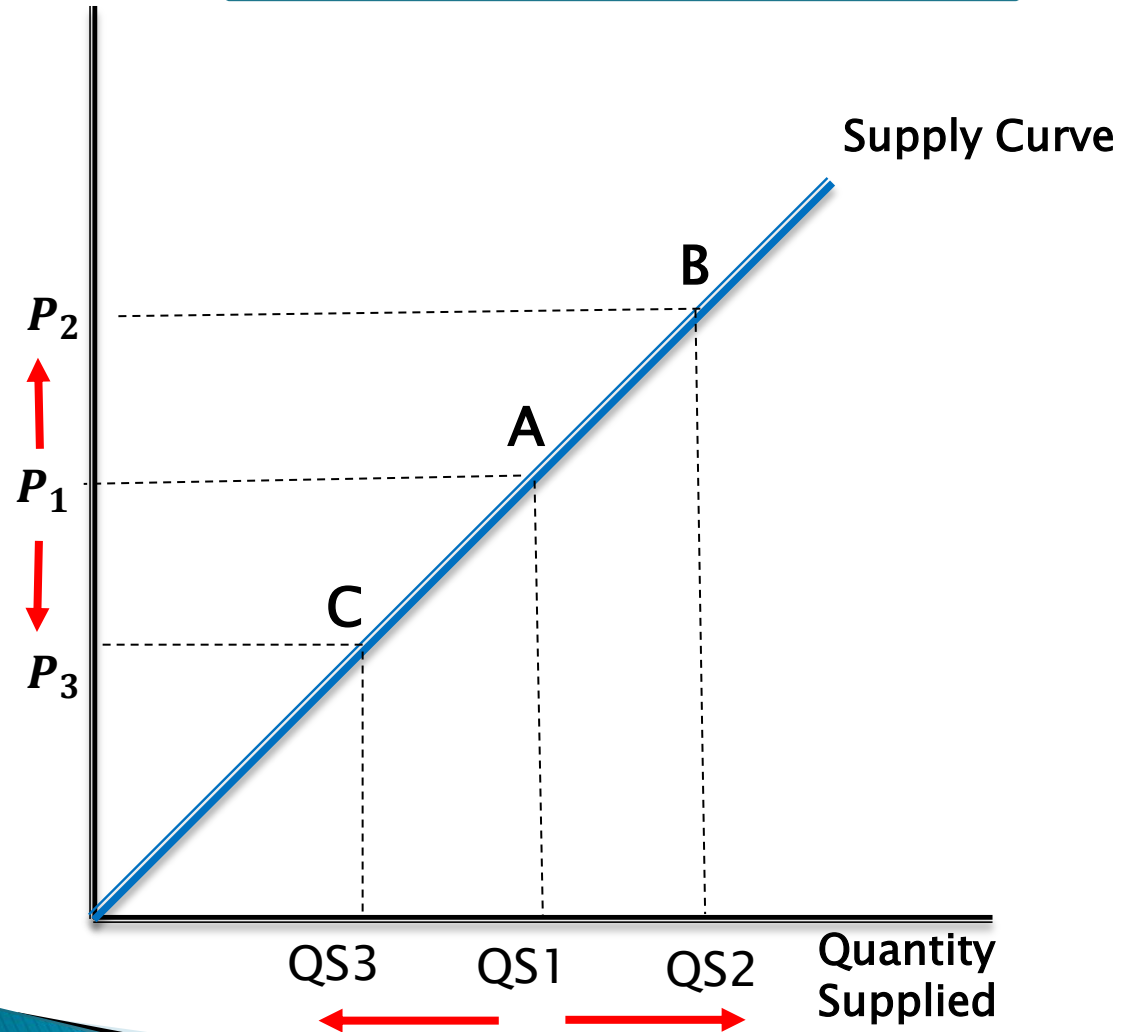
Supply Analysis and Law of Supply

- ▶ **Supply:** The quantity of goods and services offered for sell at a given price and given point of time.
- ▶ **Supply and Stock:** How much goods will be offered for sell depends on seller's expectation regarding price.
 - ▶ At higher price seller offers more goods for sell, at lower price they stock more.
- ▶ **Law of Supply**
Other things remaining same, if price increases of a product, its quantity supplied increases and vice-versa.



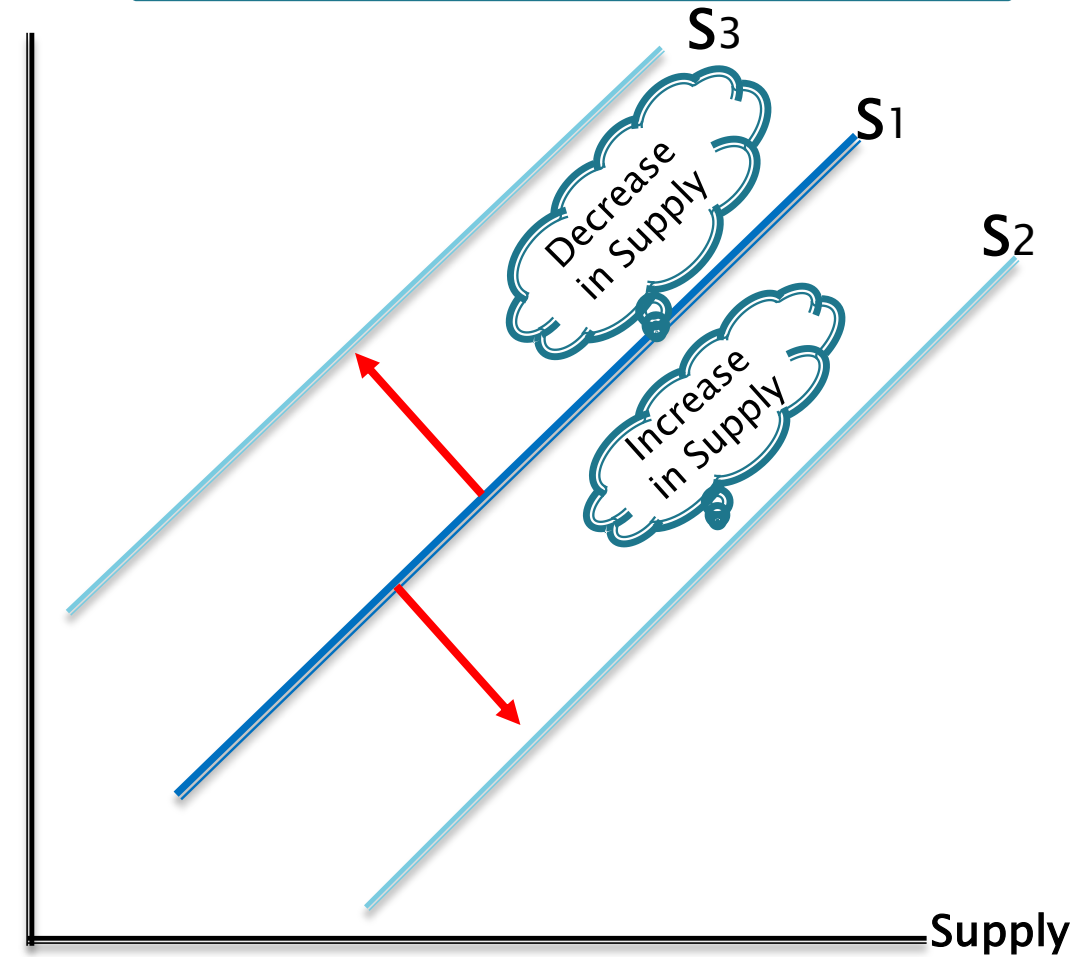
Movement along the supply curve for change in price.

Price



Shift of the supply curve for change in other factors like input price, technology, no. of sellers etc.

Price

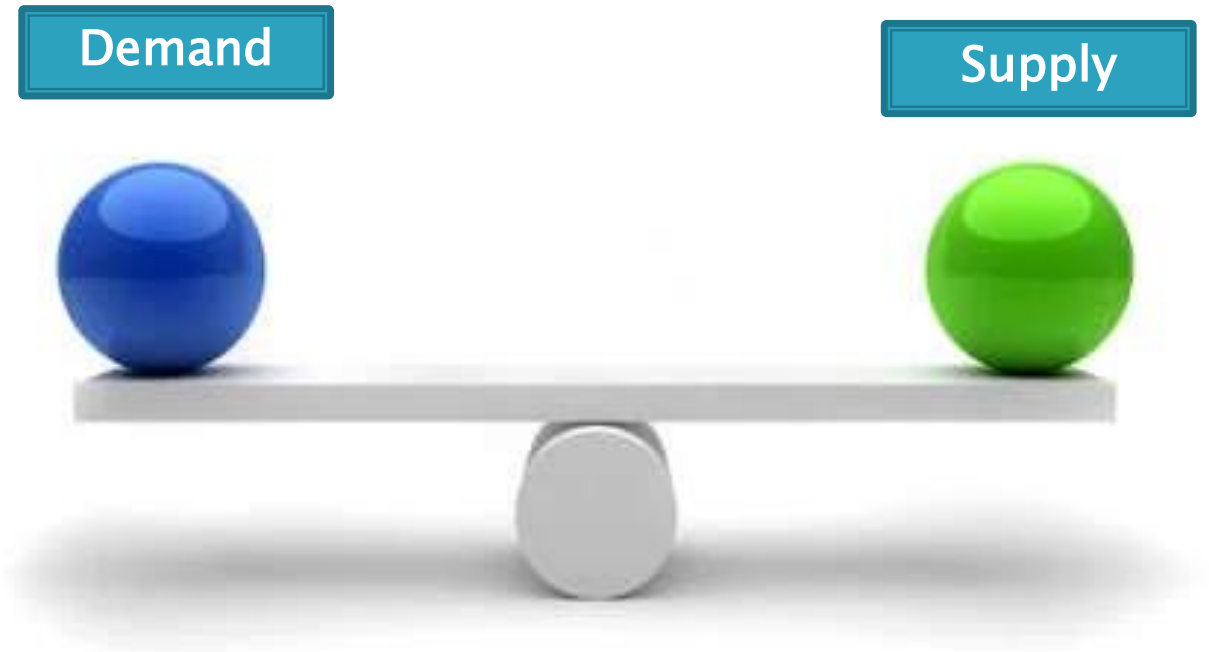


Market Equilibrium

► **Market Equilibrium:** refers to a perfect balance in the market, which is set by the automatic adjustment of Supply and Demand.

► At market equilibrium the quantity demanded becomes equal to the quantity supplied.

$$Q_s = Q_d$$



Market Equilibrium

Price
(in Taka)

$$P^* = 50$$

Equilibrium

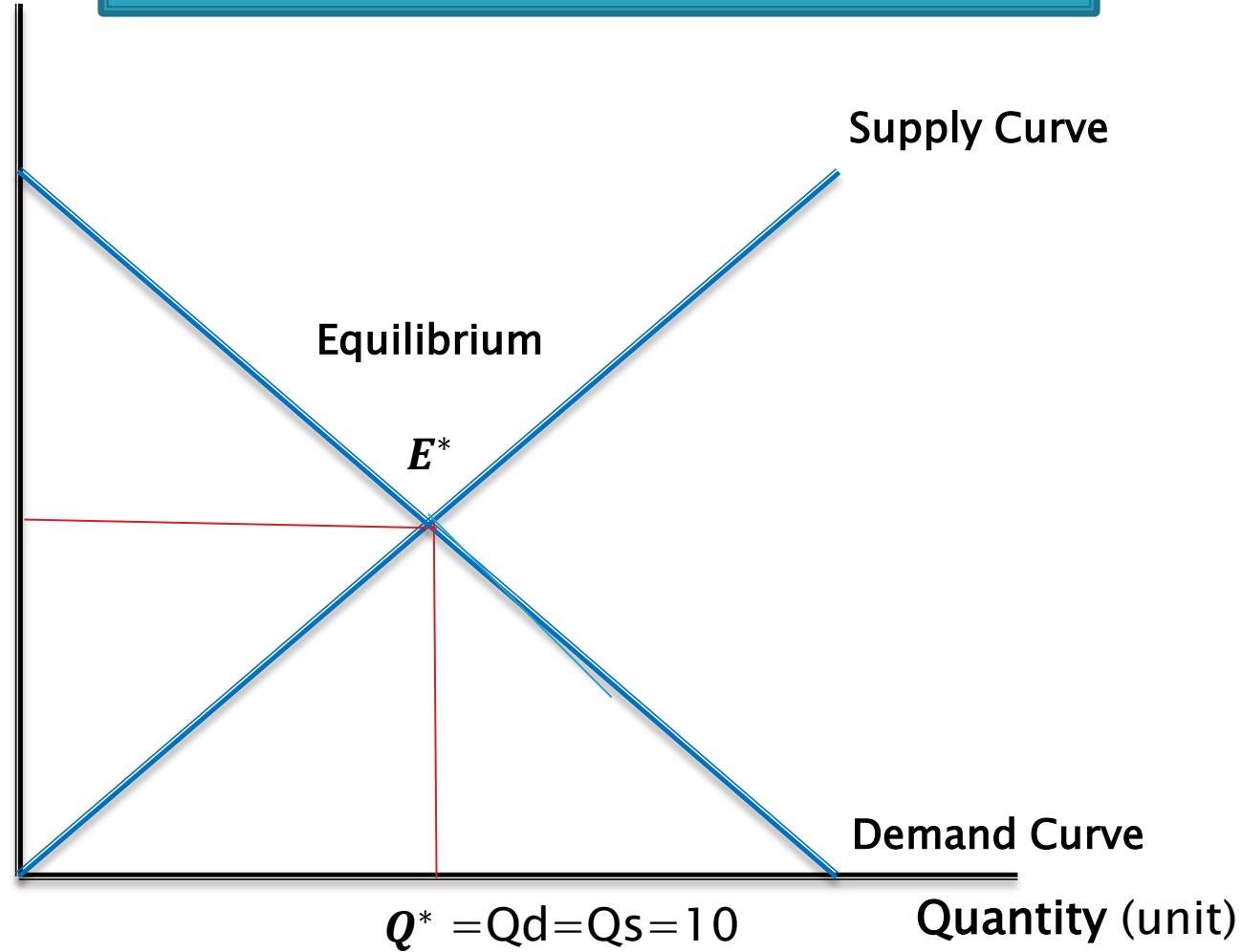
E^*

Supply Curve

Demand Curve

$$Q^* = Q_d = Q_s = 10$$

Quantity (unit)



Market Disequilibrium: Surplus and Shortage

- ▶ **Disequilibrium:** When the Quantity Demanded is not equal to the Quantity Supplied.

$$Q_s \neq Q_d$$

- ▶ **Surplus:** When quantity supplied is more than quantity demanded.

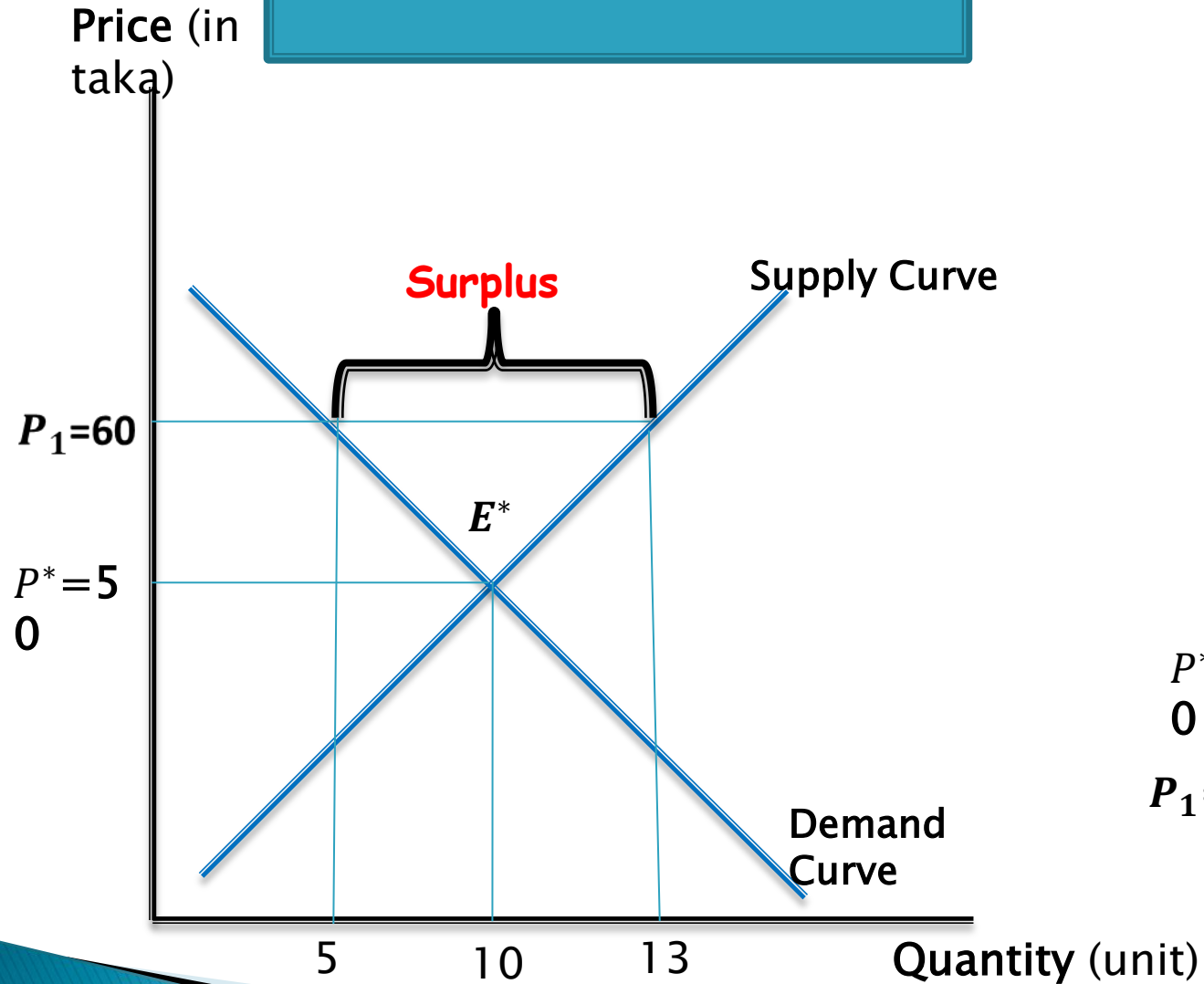
$$Q_s > Q_d$$

- ▶ **Shortage:** When quantity demanded is more than quantity supplied.

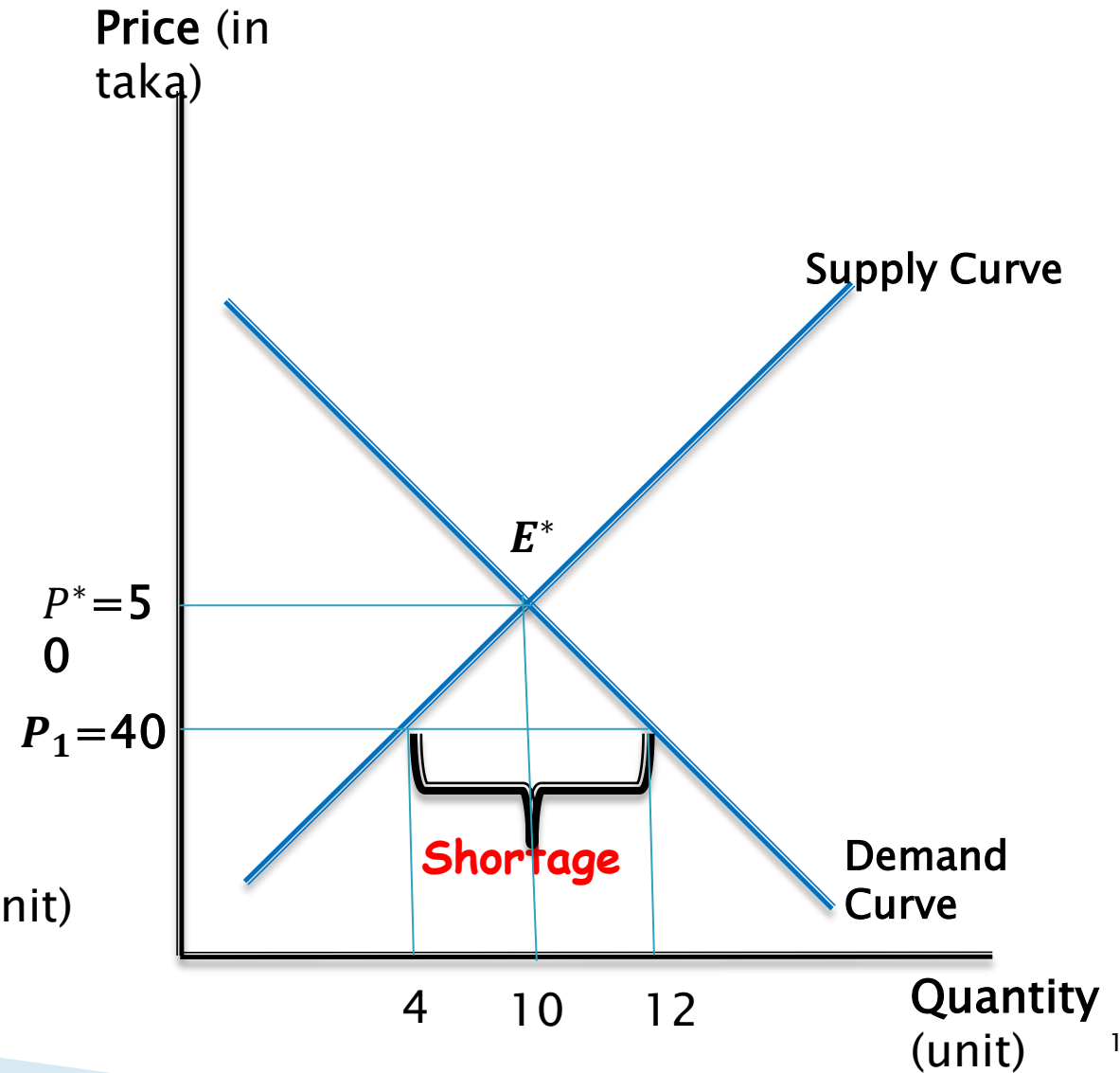
$$Q_d > Q_s$$



Market Disequilibrium: Surplus

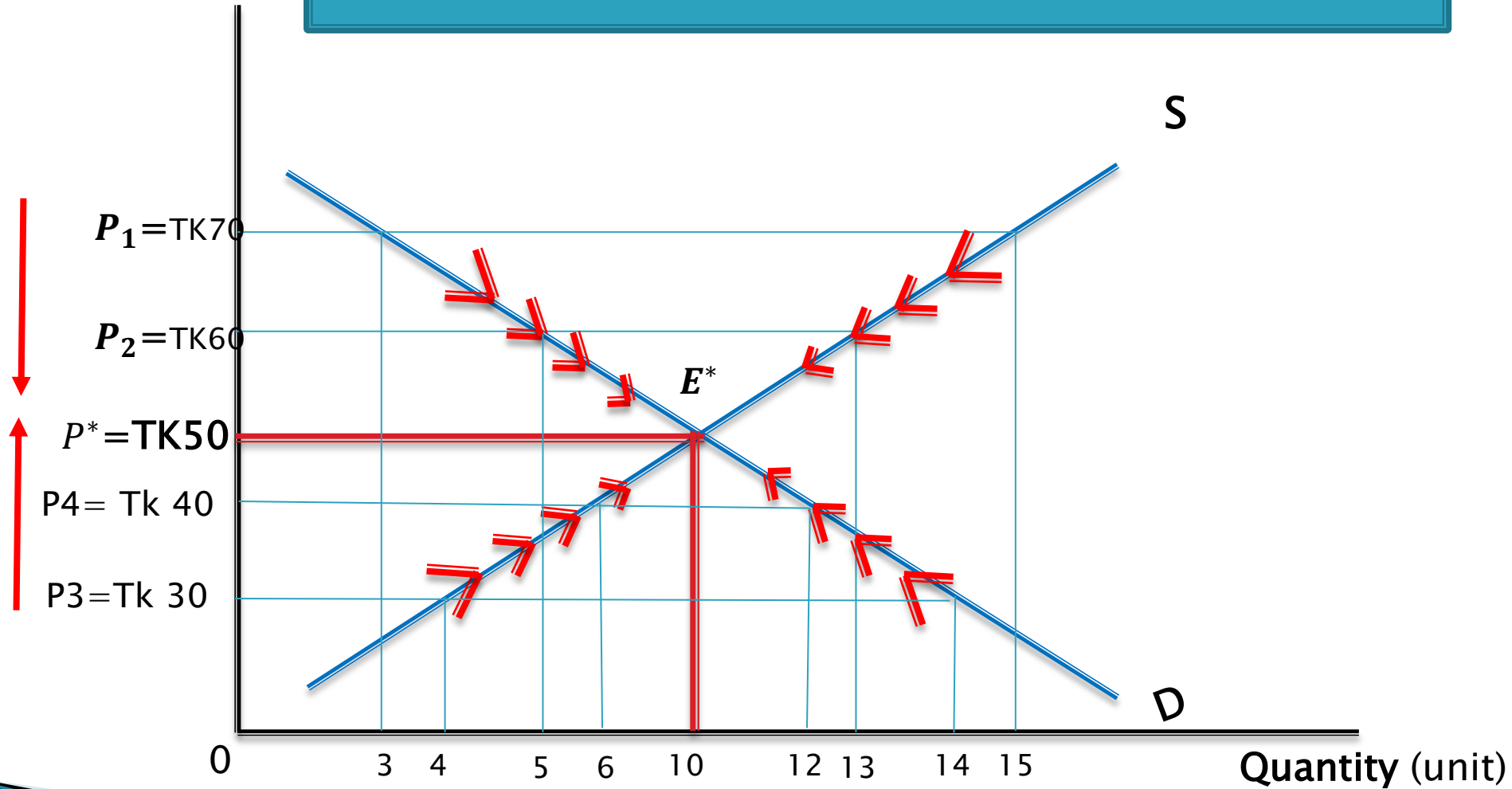


Market Disequilibrium: Shortage



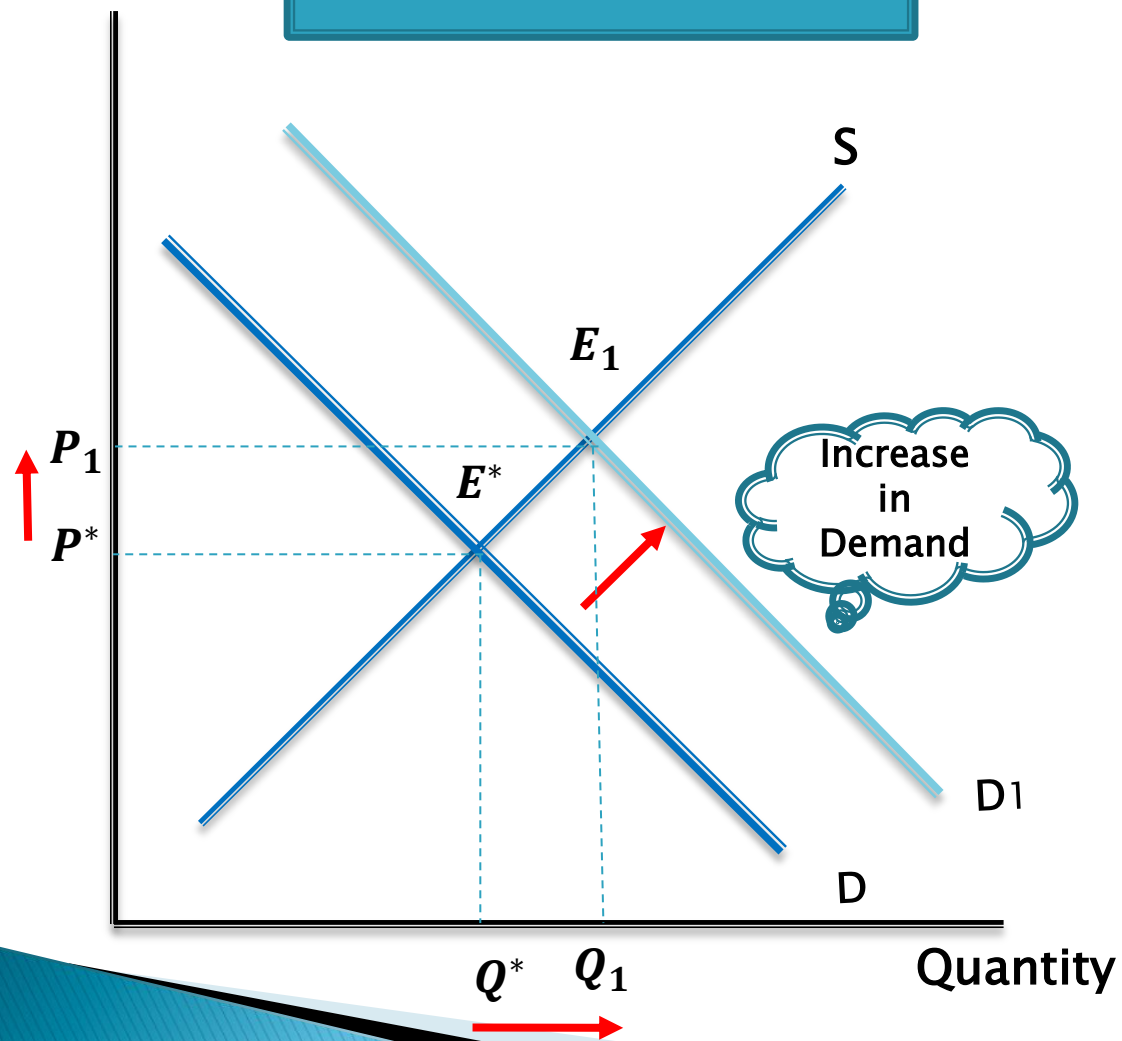
Price adjustment to correct disequilibrium and reach towards equilibrium

Price (in taka)



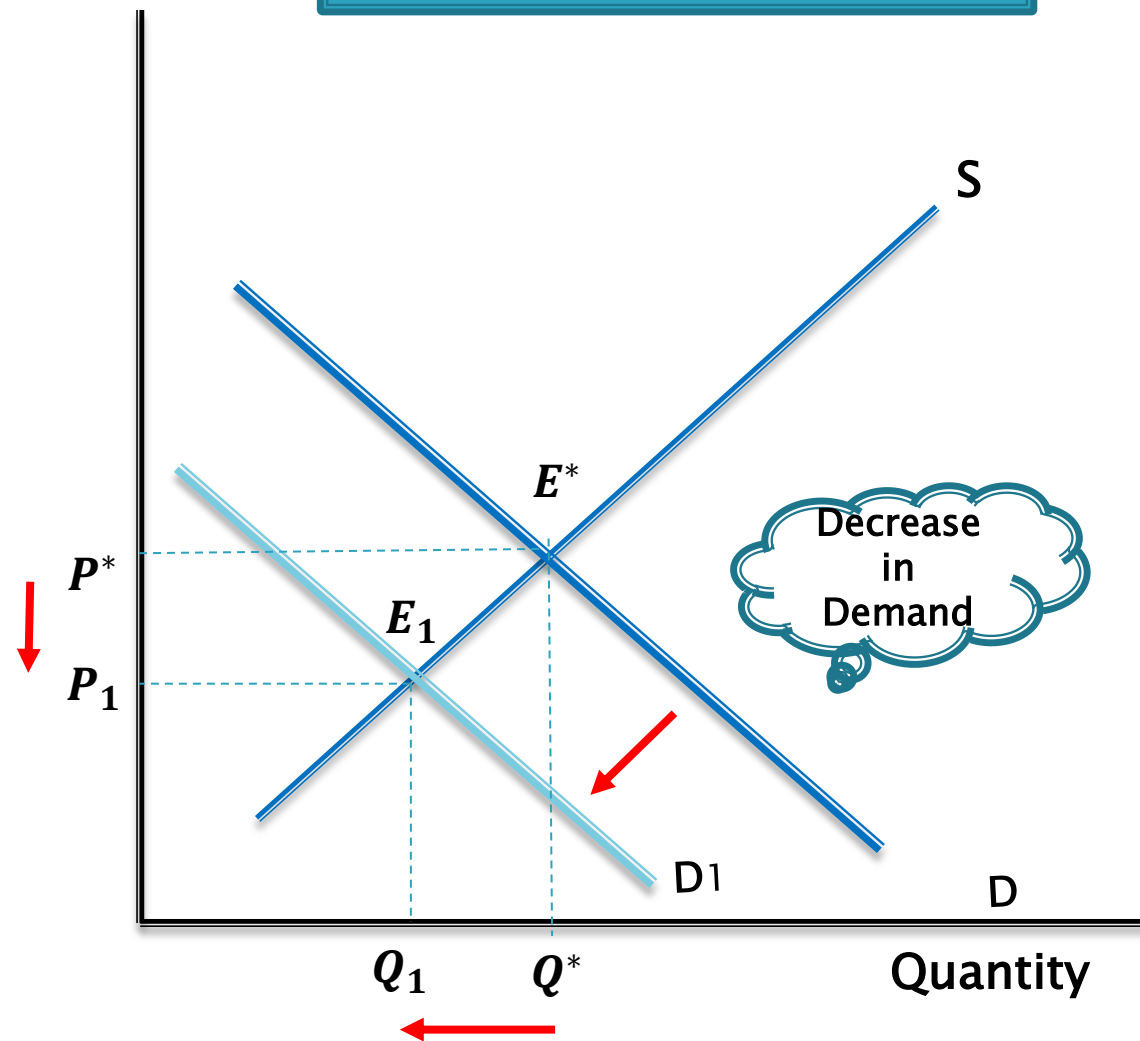
Price

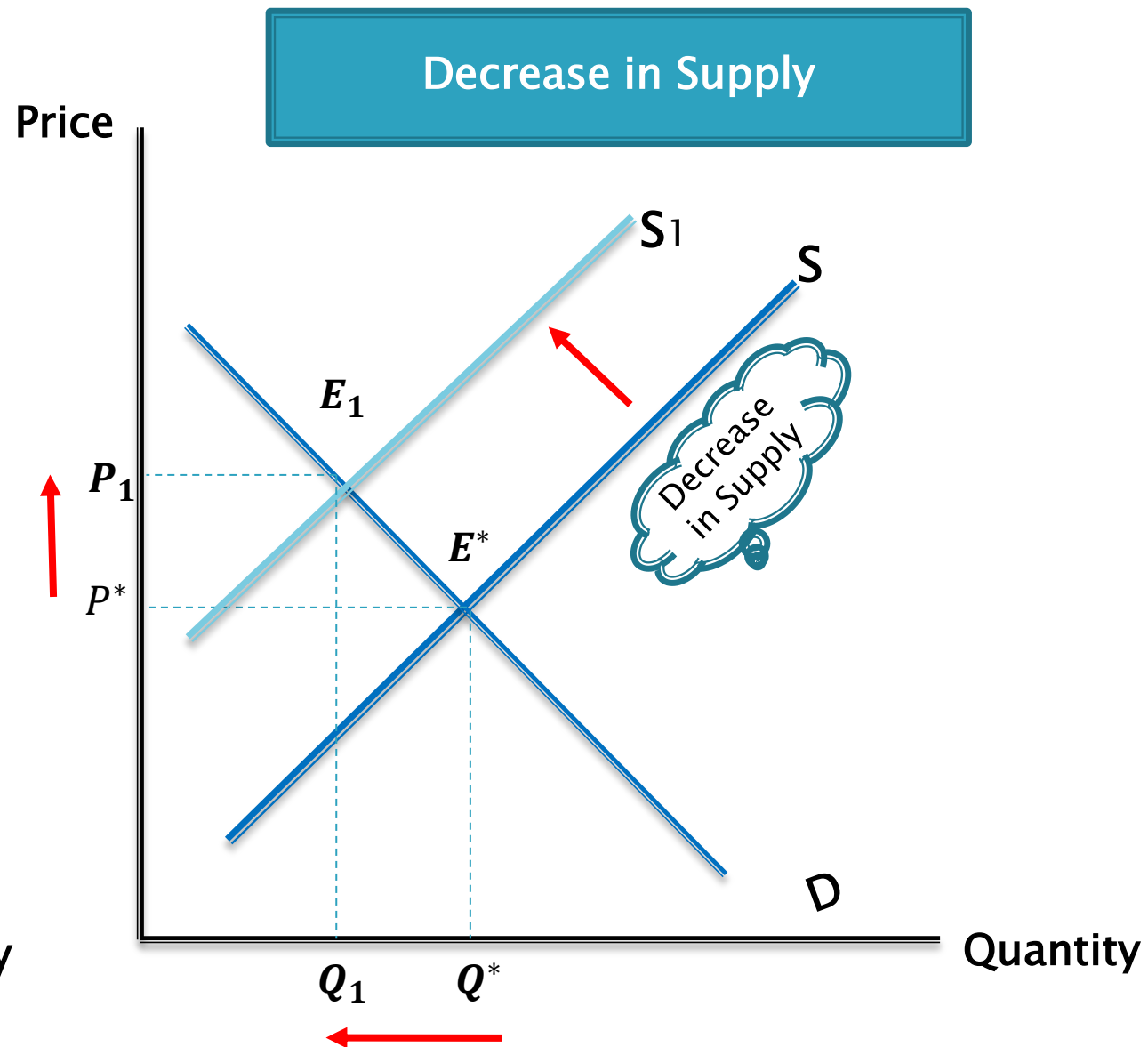
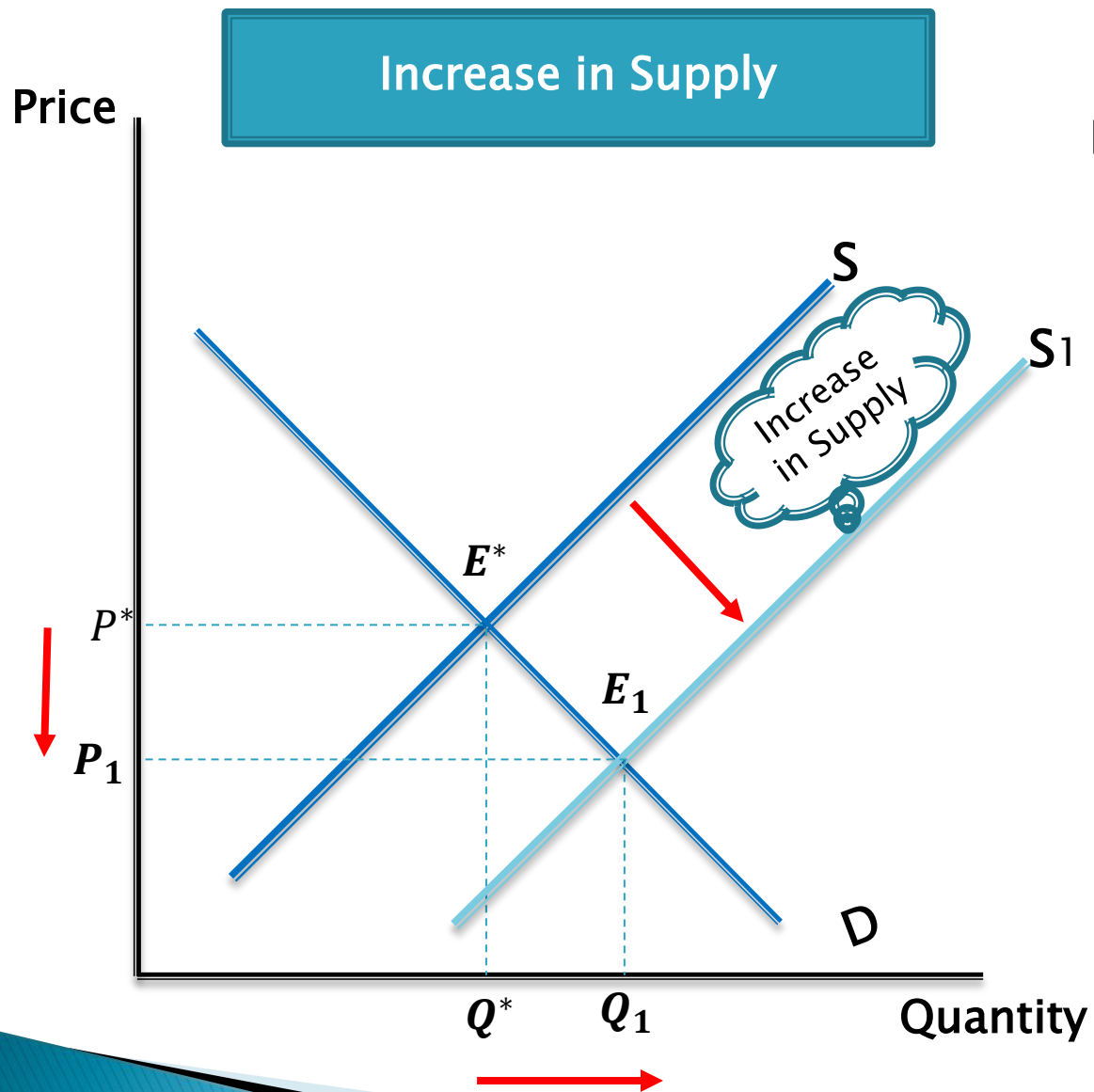
Increase in Demand



Price

Decrease in Demand





Any
Question

Thank You